



KONEX Market Business Regulation

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CHAPTER I. GENERAL PROVISIONS

§1. Purpose

The purpose of this Regulation is to stipulate the matters necessary for the trading of securities in the KONEX Market (hereinafter referred to as “the Market”) that the Korea Exchange (hereinafter referred to as “the Exchange”) has established pursuant to Article 393 of the Financial Investment Services and Capital Markets Act (hereinafter referred to as “the Act”).

§2. Definitions

(1) The term “listed-corporation” in this Regulation shall mean a corporation that is listed on the Market and specified in Article 9(15) of the Act.

(2) The term “members” in this Regulation shall mean the securities members and the equity securities members noted in [§3(1)1 & 2] of the Membership Regulation.

(3) The term “clearing members” in this Regulation shall refer to, from among the clearing members noted in [§3(2)1] of the Membership Regulation, those members who have the authority to settle in their own accounts the securities trades conducted in their names, or the securities trades entrusted to them by non-clearing members.

(4) The term “non-clearing members” in this Regulation shall refer to, from among the non-clearing members noted in [§3(2)2] of the Membership Regulation, those members who entrust the settlement of all securities trades conducted in their names to clearing members.

(5) The term "quotation" in this Regulation shall mean the intent of bid or ask that the members express in the Market for the purpose of trading securities, and is classified into each of the following subparagraphs:

1. Limit quotation: A quotation specifying the issue, quantity and price and intending to trade only at the price specified or better;

2. Market quotation: A quotation specifying the issue and quantity, but not the price, intending to trade at a price that is deemed in [§23(3)] and [§24(2)], respectively;

(6) The term "simultaneous quotation" in this Regulation shall mean a quotation that is treated equally, irrespective of sequence of the time when the quotations are received.

(7) The term “proprietary account transaction” in this Regulation shall refer to a buying or selling of securities by a member using its own name and account. (Amended on March 8, 2021)

(8) The term "customer account transaction" in this Regulation shall refer to a buying or selling of securities by a member upon receiving a trade entrustment from a customer. (Amended on March 8, 2021)

(9) The term "KONEX system" in this Regulation shall refer to the computer system that the Exchange has developed and operates for the purpose of brokering the securities transaction among the members.

(10) The term "member system" in this Regulation shall refer to the computer systems transmitting the quotations to the KONEX system from the head office, branch offices, and other business locations of the members.

(11) The term "opening price" in this Regulation shall mean the first price established after the opening of the regular session (hereinafter referred to as "the market opening").

(12) The term "closing price" in this Regulation shall mean the last price (including the special quotation price) established at the closing time of the regular session (hereinafter referred to as "the market closing time").

(13) The term "special quotation" in this Regulation shall refer to, in cases of the issues for which there is no trade executed until the market closing time, if there are ask quotations with the prices that are lower than the price used as the base in determining the price limit pursuant to [§19(1)] (hereinafter referred to as "the base price"), the lowest price of such ask quotations, and if there are bid quotations (in the case of the other types of stocks whose price difference from that of common stocks falls under the criterion specified in the Enforcement Rules of this Regulation (hereinafter referred to as "the Enforcement Rules"), it shall deem that there is no bid quotation submitted) the prices that are higher than the base price, the highest price of such bid quotations. In such cases, the price determined in accordance with [§23(3)] and [§24(2)] shall apply to the market quotation.

(14) The term "algorithmic trading" in this Regulation shall refer to the trading in which the judgement of investment, the generation and submission of quotations, etc. are conducted by an automated system that follows a certain principles without human intervention. [December 7, 2022]

(15) The term "high-speed algorithmic trading" in this Regulation shall refer to algorithmic trading conducted by the customer in a manner that meets all of the following requirements or algorithmic trading conducted by members as proprietary trading. [December 7, 2022]

1. To use a dedicated order system owned by or directly controlled by the customer (referring to an order system with functions such as investment judgment, generation and submission of orders, etc.; hereinafter the same shall apply in this paragraph); and

2. The order system noted in subparagraph 1 is located within the member computer center (referring to the member computer center noted in the "Guidelines on Connection, etc. to Member System" stipulated by the Exchange pursuant to [§9(2)]; the same hereinafter) or in the building where the member computer center is located (hereinafter referred to as the "member computer center, etc.").

(16) The term “high-speed algorithmic trader” refers to a customer or a member who has completed registration and reporting to the Exchange pursuant to [§70-3] to conduct high-speed algorithmic trading. [December 7, 2022]

(17) The definition of the terms used in this Regulation shall, except in cases where specifically provided in this Regulation, follow the provisions in the Act and other Acts, and other regulations stipulated by the Exchange.

§3. [Deleted on August 28, 2019]

CHAPTER II. MARKET OPERATION

§4. Trading Hours

(1) The Market shall be divided into the regular session and the off-hours session. (Amended on October 29, 2014)

(2) The trading hours of the Market shall be each of the followings: (Amended on October 29, 2014; June 8, 2016; April 3, 2019)

1. Regular session: From 09:00 to 15:30. However, in the case of those issues of which scope of quotations for participating in the call auction to determine the prices at the market closing time pursuant to [§23(8)] is expanded, it shall be until the concerned prices are determined within five(5) minutes after 15:30.

2. Off-hours session: In the case of off-hours sessions, the trading hours noted in each of the following items:

(a) Pre-hours sessions: From 08:00 to 09:00; and

(b) After-hours session: From 15:40 to 18:00. However, in the case of trading at closing price in after-hours session under [§26], it shall be from 15:40 to 16:00.

(3) The Exchange may temporary change the trading hours noted in paragraph (2), in the case where it is stipulated in the Enforcement Rules as it is deemed necessary for market management due to the computer system failures, etc.

§5. Closing of the Market

The Exchange shall close the Market on the day falling under any one of the followings:

1. Saturday;

2. Public holiday pursuant to the Regulations on Public Holidays of Government Offices;
3. Labor Day pursuant to the Act on Establishment of Labor Day;
4. One (1) day at the year-end (in such cases, a holiday and Saturday shall not be included in counting); and
5. In addition, the day when a sudden change in the economic conditions occurs or is expected to occur, or the day that the Exchange deems necessary for the market management.

§6. Temporary Closing of the Market and Reopening Thereafter

- (1) The Exchange may, when it is deemed necessary for the market management, close the Market, in whole or in part.
- (2) In cases where the Market was closed pursuant to paragraph (1), the Exchange shall, when the causes for market closing have been resolved, reopen the Market without delay.

§7. Intermediation of Transactions

The trade execution between the members in the Market shall be intermediated by the Exchange.

§8. Types of Trading

- (1) The types of trading shall be each of the followings:
 1. Cash delivery: The trade which is settled on the day the trade is executed;
 2. Regular way: The trade which is settled on the third day counting from the day the trade is executed.
- (2) In counting the number of days mentioned in paragraph (1)2, the market closing days shall be excluded.
- (3) Notwithstanding paragraph (1), the Exchange may change the settlement date when it recognizes that the settlement may not be concluded normally due to the events such as the natural disaster, war, accident, sudden and drastic change in economic conditions, other similar incidents thereto, or computer system failure.
- (4) The trading of issues shall be executed by the regular way, except for the case stipulated in the Enforcement Rules.

§9. Guidelines for Connection, etc. to Member System

(1) To promote the fair competition in the Market and efficient and reliable operation of Exchange system, the Exchange shall establish the matters stipulated in the Enforcement Rules, including the methods of connection between the member system and Exchange system and between the member system and their customer system, as the “Guidelines for Connection, etc. to Member System.”

(2) In cases of establishing a new guideline for connection to a member system, etc. pursuant to paragraph (1) or making a change therein, the Exchange shall notify such fact to the members without delay.

(3) The members shall comply with the Guidelines for Connection, etc. to Member System established by the Exchange pursuant to paragraph (1).

CHAPTER III. TRADING

§10. Submission of Quotations

(1) Each member shall, when intending to conduct trade in the Market, submit the quotations by specifying if they are for the own account transaction or customer account transaction, and purchase or sale, respectively, during the quotation receiving hours stipulated in the Enforcement Rules. Provided that, in the cases stipulated in the Enforcement Rules, the details of orders for several accounts may be submitted en bloc.

(2) [Deleted on August 28, 2019]

(3) Before transmitting the quotation to the Exchange system, the members shall check the matters specified in the Enforcement Rules including the appropriateness of quotation, etc. by itself (including the case where the work has been entrusted to the third party pursuant to Article 42 of the Act) and transmit those quotations for which the appropriateness has been acknowledged to the Exchange system without delay.

(4) In case when a member cannot transmit quotations due to system failures of its member computer system, the member can enter the quotations into the Exchange computer system via member securities terminals (referring to the terminals, among those installed in head office, branch offices and other business locations of the member for the purpose of inputting quotations, which are connected to the Exchange computer system under the authorization of the Exchange; the same hereinafter). In such cases, the checking of appropriateness of quotations by the member stipulated in paragraph (3) shall not be applicable. (Amended on November 4, 2015)

(5) In cases when a member changes the place where a member securities terminal is installed, the member shall inform the Exchange of the fact without delay. (Amended on November 4,

2015)

(6) Restrictions on inputting the quotations and other necessary matters related to the quotation shall be stipulated in the Enforcement Rules. (Amended on November 4, 2015)

§11. Restrictions on Quotations for Short Sale

(1) No member shall either conduct the short sale prescribed in Article 180(1)1 of the Act or place a quotation upon being entrusted with such short sale. Provided that, in the case of falling under any of the following subparagraphs, it shall not be deemed as a short sale: (Amended on October 29, 2014)

1. Case of selling the listed securities, for which the bid quote has been executed in the Market, within the executed quantity before the settlement date;
2. Case of selling the stocks to be acquired through the right exercise of convertible bonds, exchangeable bonds and bonds with warrant or through bonus shares or paid-in capital increase, stock dividend, etc., for which the settlement is possible subsequent to listing of the concerned stocks before the settlement date;
3. Case where the settlement by the settlement date is feasible and falls under any of the following items:
 - (a) Case of selling listed securities for which the fact on being deposited with the custody institutions other than the member that received the entrustment of the sell order or on being held by other methods has been confirmed;
 - (b) Case of selling the listed securities to be obtained subsequent to the request for redemption of collective investment securities of ETF collective investment vehicle pursuant to Article 234 of the Act (hereinafter referred to as “the collective investment securities of ETF collective investment vehicle);
 - (c) Case of selling the listed securities to be obtained subsequent to the termination of deposit contract of DRs of stocks;
 - (d) Case of selling the securities on loan, for which the return is assured;
 - (e) Case of selling the securities to be delivered subsequent to the trading in OTC market or by other agreement;
 - (f) Case of selling the DRs to be obtained subsequent to the deposit of securities stipulated in Subparagraphs 1 through 4 of Article 208(1) of the Enforcement Decree of the Act; and
 - (g) As a case where an agreement has been made with the customer to purchase the listed securities in the off-hours trading session after the market closing on the day when the member placed the quotation, case of selling the concerned listed securities within

the matching quantity.

(2) In the case of conducting a short sale noted in Article 180(1)2 of the Act (hereinafter referred to as “the covered short sale”) or placing a quotation after receiving an entrustment of such covered short sale, a member shall place a quotation according to the manner noted in each of the following subparagraphs:

1. When receiving an entrustment of an ask order from a customer:

(a) The member shall have been notified by the customer of the fact that the concerned ask order is for covered short sale. In such cases, if the customer is an officer or employee of the concerned listed corporation, such fact shall also be notified;

(b) The member shall verify if the ask order is for covered short sale and if the settlement obligation following the trade execution can be fulfilled;

(c) In cases where there is a concern about the possibility of non-fulfillment of settlement obligation following the execution of covered short sale, the member shall not either accept the entrustment of covered short sale or place the quotation for such covered short sale; and

(d) In the case of submitting a quotation for covered short sale, the member shall notify such fact to the Exchange.

When submitting a quotation for covered short sale, the member shall notify the Exchange of the fact that the quotation is for covered short sale.

(3) When making the verifications noted in paragraph (2)1(b), a member shall accomplish it according to each of the following methods. (Amended on December 11, 2013)

1. At the time of receiving an ask order, the member shall ask the customer to notify the facts if the concerned ask order is for covered short sale and if an agreement for securities borrowing has been entered;

2. The notification noted in subparagraph 1 shall be made according to any of the following methods:

(a) By submitting written documents;

(b) Via telephone, telegram, facsimile, electronic mail, etc.; and

(c) Via computer and similar electronic communication.

3. The details of information received shall be recorded and kept according to the manner stipulated in the Enforcement Rules.

(4) Notwithstanding paragraph (3), when a member has received a customer’s consent not to submit orders for covered short sale and has modified the computer program not to submit the

covered short sale orders of the concerned customer's account, it shall be deemed that the verification pursuant to paragraph (2)1(b) has been made. Provided that, in cases where the customer has conducted a short sale from the account, the member shall make the verification noted in paragraph (2)1(b) using the methods under paragraph (3) for a period of one hundred and twenty (120) days from the trading day following the day when the member recognized such fact. [December 11, 2013] (Amended on December 5, 2018)

(5) [Deleted on February 8, 2017]

(6) Notwithstanding paragraph (2), the Exchange may restrict the covered short sale of the issue that falls under any of the following subparagraphs. Provided that this provision shall not apply to the case of covered short sale quotations placed to conduct the trades stipulated in the Enforcement Rules. (Amended on February 8, 2017; March 8, 2021)

1. The issues falling under the criteria set by the Enforcement Rules such as the share price decline rate and the proportion of covered short sale, etc.; or
2. The issues that the Financial Services Commission deems it likely to hinder the stability of the securities market and the formation of fair market prices and accordingly restricts the covered short sale thereof pursuant to the Paragraph (3) of Article 180 of the Act, by specifying the scope of listed securities, trading type and deadline, etc. upon receiving the request from the Exchange.

(7) When it is deemed necessary, the Exchange may request a member to submit the data relating to the short sale and the covered short sale.

(8) The matters necessary with respect to the restrictions on the covered short sale quotations pursuant to paragraph (6) shall be stipulated in the Enforcement Rules. [February 8, 2017]

§12. Restrictions on Prices of Quotations for Covered Short Sale

(1) In the case of conducting a covered short sale or placing a quotation after receiving an order for a covered short sale pursuant to Article 208(2) of the Enforcement Decree of the Act, the member shall not place the quotation at the price that is lower than the most recent market price. Provided that, in cases where the most recent market price is higher than the market price immediately before (referring to the market price established immediately before the most recent market price, which is different from the most recent market price), the quotation may be placed at the most recent market price.

(2) Notwithstanding paragraph (1), members may place quotations at the prices below the most recent market price in any of the followings: (Amended on June 14, 2014; March 8, 2021)

1. [Deleted on March 8, 2021];

2. As a trade linking the DRs of stocks and its underlying stocks, which is conducted for the purpose of gaining profits from the difference between prices of DRs of stocks and those of underlying stocks, the case of selling to conduct the trade stipulated in the

Enforcement Rules;

3. [Deleted on March 8, 2021];

4. For the ELWs listed on the KOSPI Market, cases of selling the underlying stocks in order to avoid or cut the loss caused by the price volatility of equity-linked warrant (ELWs) that was sold or purchased by the member who submits the liquidity providing quotation pursuant to [§20-2(1)] of the KOSPI Market Business Regulation;

5. For collective investment securities of ETF collective investment vehicle, cases of selling the underlying stocks in order to avoid or cut the loss caused by the price volatility of collective investment securities of ETF collective investment vehicle purchased by the member who submits the liquidity providing quotation pursuant to [§20-2(1)] of the KOSPI Market Business Regulation;

(3) Matters necessary for the price limit on quotation for covered short sale pursuant to paragraphs (1) and (2) shall be stipulated in the Enforcement Rules.

§13. Follow-up Management of Short Sale Quotations

(1) On the settlement dates, members shall collect the relevant materials such as the agreement for securities borrowing or details of balance of securities held from the customer (including the customer whom the trust business entity under Article 182(2)1(b) of the Act or the depository under Article 6-21 of the Regulations on Financial Investment Business has notified of the fact that although the balance of securities held by the customer is more than the quantity required for the settlement, no settlement instruction has arrived or there is a flaw in the settlement instruction; but this provision shall not apply to the case where the customer settled the trade using the securities held before the settlement deadline) who has confirmed the fact that the balance of securities held by the concerned customer is less than the quantity required for the settlement and verify whether the customer has sold the securities not in possession or the securities of which settlement cannot be made by the settlement deadline, and shall record and keep the concerned details.

(2) Notwithstanding paragraph (1), paragraph (1) shall not apply to transactions of corporations that are required to take measures pursuant to Article 208-7(2)1(d) of the Enforcement Decree of the Act. [January 28, 2026]

(3) The Exchange may request a member to submit the details of the verification made pursuant to paragraph (1) on whether the customer has sold the securities not in possession or the securities of which settlement cannot be made by the settlement deadline and the materials relevant thereto.

(4) In cases where the details of verification and the materials relevant thereto obtained from a member pursuant to paragraph (3) and the inspection, etc. have confirmed that the customer sold the securities not in possession or the securities of which settlement cannot be made by the settlement deadline during the latest six (6) months, or where the Financial Services

Commission has notified of the fact of the customer's violation of Article 180(1) of the Act, the Exchange may notify the details noted in any of the following subparagraphs and the information on the customer falling thereunder to the relevant member. In such cases, upon receiving the notification from the Exchange, the member shall notify other members of the concerned fact without delay. (Amended on February 8, 2017; December 5, 2018; January 28, 2026)

1. In the case of falling under any of the following items: To confirm the advance delivery of the selling securities when receiving orders for covered short sale from the concerned customer for a period of forty (40) days:

(a) Case where the number of days (hereinafter referred to as "the number of selling days") when securities not in possession or the securities of which settlement cannot be made by the settlement deadline is one (1) and the total amount sold (hereinafter referred to as "the accumulative selling amount") is KRW 500 million or more but not more than KRW 1 billion; or

(b) Case where the number of selling days is two (2) or more but not more than four (4), and the accumulative selling amount is KRW 500 million or less.

2. In the case of falling under any of the following items: To confirm the advance delivery of the selling securities when receiving orders for covered short sale from the concerned customer for a period of eighty (80) days:

(a) Case where the number of selling days is one (1) and the accumulative selling amount is over KRW 1 billion;

(b) Case where the number of selling days is two (2) or more but not more than four (4), and the accumulative selling amount exceeds KRW 500 million but not more than KRW 1 billion; or

(c) Case where the number of selling days is five (5) or more and the accumulative selling amount is KRW 500 million or less.

3. In the case of falling under any of the following items: To confirm the advance delivery of the selling securities when receiving orders for covered short sale from the concerned customer for a period of one hundred and twenty (120) days:

(a) Case where the number of selling days is two (2) or more but not more than four (4), and the accumulative selling amount is over KRW 1 billion; or

(b) Case where the number of selling days is five (5) or more, and the accumulative selling amount is over KRW 500 million but not more than KRW 1 billion.

4. In cases where the number of selling days is five (5) or more and the accumulative selling amount is over KRW 1 billion: To confirm the advance delivery of the selling securities for a period of one hundred and twenty (120) days.

(5) The provisions of paragraph (4) shall apply *mutatis mutandis* to the case where the

Financial Services Commission has notified the Exchange that the customer violated the reporting obligations prescribed in Article 180-2(1) of the Act or the disclosure obligations prescribed in Article 180-3(1) of the Act. Provided that the provision of “during the latest six (6) months” noted in the part other than each subparagraph of paragraph (4) is not the case. (Amended on June 8, 2016; February 8, 2017; January 28, 2026)

(6) In applying paragraph (4) *mutatis mutandis* pursuant under paragraph (5), the “number of selling days” in each subparagraph of paragraph (4) shall be construed as the “number of days that have violated the reporting obligations prescribed in Article 180-2(1) of the Act or the disclosure obligations prescribed in Article 180-3(1) of the Act” and the “accumulative selling amount” shall be construed as the “average daily amount of the amounts that have violated the reporting obligations prescribed in Article 180-2(1) of the Act or the disclosure obligations prescribed in Article 180-3(1) of the Act”. (Amended on June 8, 2016; February 8, 2017; January 28, 2026)

(7) In addition, other matters necessary concerning follow-up management of short sale quotations shall be stipulated in the Enforcement Rules.

§14. Submission of Quotations for Treasury Stocks, etc.

(1) When a member has received an order to trade treasury stocks from a listed corporation pursuant to Article 165-3 of the Act, it shall place the quotations at any of the following prices during the quotation receiving hours for the regular session. Provided that, in the case of paragraphs (1)2 and (2), the quotation shall not be placed during the last thirty (30) minutes before the market closing time. (Amended on April 29, 2015)

1. In the case of placing quotations before the market opening

(a) In the case of a bid, the prices that is higher than the previous day’s closing price of concerned issues, but lower than the price that is 5/100 higher than the previous day’s closing price. In such cases, if such price is inconsistent with the quotation price unit, it shall be the price falling under the closest quotation price unit toward the previous day’s closing price.

(b) In the case of an ask, the price between the previous day’s closing price of concerned issues and the price higher the price that is two (2) quotation price units lower than the previous day’s closing price.

2. In the case of placing quotations during the trading hours

(a) In the case of a bid, the prices between the ceiling price, which is five (5) quotation units higher than the higher of the last price and the best bid price of the concerned issue, and the floor price, which is five (5) quotation units lower than the higher of the last price and the best bid price of the concerned issue.

(b) In the case of an ask, the prices between the ceiling price, which is five (5) quotation units higher than the lower of the last price and the best ask price of the concerned issue

and the floor price, which is five (5) quotation units lower than the lower of the last price and the best ask price of the concerned issue.

(2) Members may correct the quotation price (including the correction quotations) stipulated in paragraph (1) with the price noted in paragraph (1)2 during the trading hours.

(3) When a member intends to place quotation pursuant to paragraph (1), it shall follow the method stipulated in the Enforcement Rules within the period stipulated therein.

(4) Notwithstanding paragraphs (1) through (3) above, in the case of falling under any of the following cases, the member may trade treasury stocks by way of off-hours block trading (excluding the pre-hours session): [October 29, 2014]

1. Case where an order was received from a listed corporation that intends to buy back its treasury stocks from the government, the Bank of Korea, the Korea Deposit Insurance Corporation, the Korea Development Bank, the Industrial Bank of Korea, the Export-Import Bank of Korea and any corporation in which the government has made an equity investment no less than 50/100 of capital stock; and

2. Case where an order was received from a listed corporation to which the government, for the purpose of achieving the government policies for promoting fair competition and privatization of public corporations, has granted a permission, approval, authorization or a written instruction or recommendation, and requested the FSC to approve, with regard to the company's buyback of its treasury stocks, and the FSC has approved that the buyback of treasury stocks by the company concerned does not interfere with the investor protection.

(5) Notwithstanding paragraphs (1) through (3), the member may, when receiving an order for disposal of treasury stocks from a listed corporation, conduct the trade by way of off-hours block trading, and in such cases, the ask price shall be the price falling under each of the following subparagraphs: [October 29, 2014] (Amended on April 17, 2019; July 10, 2019)

1. The prices between the price that is 5/100 higher and the price that is 5/100 lower than the closing price of the day (the closing prices of the previous day, in the case of the pre-hours session; the same hereinafter in this subparagraph). In such cases, if such price does not correspond to the quotation price unit, it shall be the price that is the closest quotation price unit toward the closing price; and

2. The prices between the upper and lower limit prices of the off-hours trading of the day.

(6) Necessary matters concerning the quotations, etc. under the provisions of paragraphs (1) through (5) shall be stipulated in the Enforcement Rules. (Amended on October 29, 2014)

§15. Special Cases of Bid Quotation for Buyback of Treasury Stocks

(1) Notwithstanding [§14], the Exchange may, in the case of having obtained an approval from the FSC for the protection of investors and the maintenance of the market stability against sudden changes in market conditions, etc., have its members place quotations at the price pursuant to [§14(1) and (2)] upon receiving orders for buyback of treasury stocks from listed

corporations during the quotation receiving hours of the regular session. Provided that such quotation shall not be submitted from thirty (30) minutes before the market closing time to the market closing time.

(2) Matters necessary concerning the quotations, etc. pursuant to paragraph (1) shall be stipulated in the Enforcement Rules.

§16. Submission of Quotations for Trading of Treasury Stocks under Trust Contract

(1) The provisions of [§14 (excluding paragraph (4))] and [§15] shall apply *mutatis mutandis* to the case where a member has received an order that falls under the trading of treasury stocks from trust business entities pursuant to [§54]. (Amended on October 29, 2014)

(2) In applying paragraph (1), the “listed corporation”, “trading of treasury stocks” and “disposal of treasury stocks” in [§14] shall be construed as “trust business entity”, “trading of treasury stocks under the trust contract” and “disposal of treasury stocks under the trust contract”, respectively, and “buyback of treasury stocks by the listed corporations” in [§15] shall be construed as “buyback of treasury stocks under the trust contract by the listed corporations.” (Amended on October 29, 2014)

§17. Liquidity Providing Members

(1) Any member, who has entered into an appointment contract for the designated advisor (hereinafter referred to as “the appointment contract for the designated advisor”) pursuant to the KONEX Market Listing Regulation (hereinafter referred to as “the Listing Regulation”) with a listed corporation (including one that intends to make an initial listing on the Market, the same hereinafter in this Article) shall enter into an agreement for liquidity provision (hereinafter referred to as “liquidity provision agreement”) that includes the details prescribed in the Enforcement Rules such as quotation spread, quotation quantities, etc. in accordance with [§18(3)] (in cases where the appointment contract for the designated advisor includes the matters on the obligations of submission of liquidity providing quotations, it is deemed that the member has entered into a liquidity provision agreement; the same hereinafter in this Article) and submit quotations (hereinafter referred to as “liquidity providing quotations”) for the provision of liquidity for the concerned issue during the regular session. Provided that this does not apply to the listed corporation that meets the requirements stipulated in the Enforcement Rules. (Amended on June 14, 2017; April 17, 2019; April 27, 2022)

(2) In cases where a listed corporation has not entered into an appointment contract for the designated advisor, any member, who has entered into an agreement for liquidity provision with the listed corporation, may place a liquidity providing quotation for the concerned issue. [June 14, 2017]

(3) Any member intending to submit the liquidity providing quotation for the stocks pursuant to paragraph (1) or (2) shall satisfy the requirements noted in each of the followings: (Amended on June 14, 2017)

1. To be a clearing member who has obtained the permit for investment dealing business for stocks; and,
 2. In the case of having been confirmed that the disciplinary measure severer than criminal sanction or business suspension or trading suspension have been imposed as a result of infringing the relevant laws and decrees and the business regulations of the Exchange while performing the tasks of liquidity provision, it has been elapsed at least one (1) year since that time.
- (4) If a member fails to satisfy paragraph (3)1, the member shall be prohibited from placing a liquidity providing quotation from such time, and in the case of failing to satisfy paragraph (3)2, from the time of expiry of the term of agreement for liquidity provision that remains effective, respectively. (Amended on June 14, 2017)
- (5) In a case where a member who entered into an appointment contract for the designated advisor fails to satisfy the requirements of the paragraph (3) or fails to submit liquidity providing quotations according to the paragraph (4) or else where the Exchange deems it necessary, the listed corporation shall enter into a liquidity provision agreement with a member other than the designated advisor. (Amended on June 14, 2017)
- (6) In a case where a member enters into or terminates a liquidity provision agreement pursuant to the paragraph (1) or (2) or where there is a material changes in the agreement, the member shall notify the fact to the Exchange as stipulated in the Enforcement Rules. Provided that, this shall not apply to the cases of falling under the proviso to paragraph (1). (Amended on June 14, 2017; April 17, 2019)
- (7) In addition to paragraphs (1) through (6), matters necessary concerning liquidity providing members shall be stipulated in the Enforcement Rules. (Amended on June 14, 2017)

§18. Obligation to Submit Liquidity Providing Quotations

- (1) Members shall submit liquidity providing quotations at least once a day during the regular trading session. Provided that this shall not apply to the cases stipulated in the Enforcement Rules. (Amended on June 14, 2017)
- (2) Members shall submit the liquidity providing quotations via a separate account that is set up in advance.
- (3) In cases where a member submits the liquidity providing quotations pursuant to the paragraph (1) (including the case of making a correction to the concerned quotation), the quotation spread ratio between the bid and ask quotations (referring to the value converted into a percentage produced by dividing the difference of the prices of the bid and ask by the bid price; the same hereinafter in this paragraph) shall be within the quotation spread set between the member and the stock-listed corporation and not exceed 6%. (Amended on June 14, 2017)
- (4) Matters on the quotation quantities for a case where a member submits the liquidity providing quotations or corrects the concerned quotations shall be stipulated in the

Enforcement Rules.

(5) In cases where a member submits a liquidity providing quotation to one side of either an ask or a bid, the member shall submit a liquidity providing quotation to the other side as well immediately. Provided that this provision shall not apply to the cases stipulated in the Enforcement Rules.

(6) Other matters such as the method of submitting liquidity providing quotations, restrictions of submitting the quotations, etc. shall be stipulated in the Enforcement Rules.

§19. Quotation Price Limit

(1) The quotation price shall neither be higher than the price obtained by adding the price limit (hereinafter referred to as “upper price limit”) to the base price nor lower than the price obtained by subtracting the price limit (hereinafter referred to as “lower price limit”) from the base price.

(2) The price limit pursuant to paragraph (1) shall be equal to the amount calculated by multiplying the base price by 15/100 (in cases of off-hours block trading, 30/100) and other matters necessary for the price limit shall be stipulated in the Enforcement Rules. (Amended on April 17, 2019)

(3) Notwithstanding paragraph (1), in cases of the issues (hereinafter referred to as “the issue scheduled to be delisted”) that are allowed to be traded for a certain period pursuant to [§33] of the Listing Regulation, the quotation price limit shall not apply. (Amended on June 18, 2014)

(4) Notwithstanding paragraph (2), in cases of the situations that are stipulated in the Enforcement Rules such as the sudden change in the market conditions, etc., the price limit may be determined differently.

§20. Quotation Unit

The quotation quantity unit, the quotation price unit and the trading quantity unit of issues shall be stipulated in the Enforcement Rules.

§21. Receipt of Quotations

The Exchange shall receive the quotations through the KONEX system.

§21-2. Cancellation of Quotations upon Disconnection

(1) In the case where the connection between the member system and the Exchange system is recognized as disconnected and it is stipulated in the Enforcement Rules, a member may request to the Exchange in advance to cancel quotations (hereinafter referred to as the “cancellation of disconnected quotations) within a certain range at once. In such case, the Exchange may cancel the quotations as stipulated in the Enforcement Rules.

(2) The methods of request and cancellation of the request under paragraph (1), quotations subject to cancellation, and other necessary matters shall be stipulated in the Enforcement Rules.

[December 7, 2022]

§22. Auction Principles

(1) All trades in the Market shall be executed by way of individual auction, and the individual auction shall be classified into the call auction and the continuous auction.

(2) The priority of quotations in an individual auction shall be determined according to each of the following guidelines:

1. The lower ask shall have priority over higher asks, and higher bid shall have priority over lower bids. Provided that, the market quotations should have priority over the limit quotations in terms of price; ask market quotation and ask limit quotation at the lower price limit, and bid market quotation and bid limit quotation at the upper price limit shall be deemed to be the quotations at the same price, respectively; and

2. In the case of the quotations with same price and the market quotations, the quotation received earlier shall have priority over the quotations received later.

(3) Notwithstanding paragraph (2)2, from among the quotations that participate in determination of the prices noted in [§23(1)1, 3 and 4], the following quotations shall be treated as simultaneous quotations, and the priority of simultaneous quotations shall be stipulated in the Enforcement Rules: (Amended on June 18, 2014)

1. In cases where the relevant price is determined at the upper price limit, the quotations with upper bid price. In such cases, the market quotation which is deemed to be the upper price limit pursuant to [§23(3)] and the quotations that may be quoted at the possible highest price at the time of determining the first trading price of any issue stipulated in [§28] shall be included; and

2. In cases where the relevant price is determined at the lower price limit, the quotations with lower ask price. In such cases, the market quotation which is deemed to be the lower price limit pursuant to [§23(3)] and the quotations that may be quoted at the possible lowest price at the time of determining the first trading price of any issue stipulated in [§28] shall be included.

§23. Call Auction with Single Price

(1) The price falling under any of the following subparagraphs shall be determined by way of call auction with single price. Provided that this is not the case if the Enforcement Rules stipulate otherwise: (Amended on June 18, 2014; December 7, 2022)

1. The opening price;
2. The closing price;
3. The first price after reopening the market pursuant to [§6(2)]; and,
4. The first price after the trading is resumed pursuant to [§30(2)], [§27(4)] of the Listing Regulation and [§17(3)] of the KONEX Market Disclosure Regulation.

(2) The range of quotations to be included in the determination of the prices noted in paragraph (1) shall be stipulated in the Enforcement Rules.

(3) When the price is determined pursuant to paragraph (1), the market quotation shall be deemed to have been placed at each of the following prices:

1. In cases where there are only bid and ask market quotations, the most recent market price. Provided that, when the total quantity of either bid or ask market quotations is larger than that of the other side, the price shall be each of the followings:

- (a) In cases where the aggregated quantity of ask market quotations is larger, the price that is lower by one (1) quotation price unit than the most recent market price (within the lower price limit); and

- (b) In cases where the aggregated quantity of bid market quotations is larger, the price that is one (1) quotation price unit higher than the most recent market price (within the upper price limit).

2. Cases other than the case in subparagraph 1, the ask market quotation shall be the lowest of the prices specified in followings:

- (a) The price that is one (1) quotation price unit lower than the lowest ask limit quotation price (within the lower price limit);

- (b) The lowest of the bid limit quotation prices; and

- (c) The most recent market price.

3. Cases other than the case in subparagraph 1, the bid market quotation shall be the highest of the prices specified in followings:

- (a) The price that is one (1) quotation price unit higher than the highest bid limit quotation price (within the upper price limit);

(b) The highest of the ask limit quotation prices; and

(c) The most recent market price.

(4) The prices under paragraph (1) shall be deemed to be the prices where the aggregated quantity of ask quotations are matched with the aggregated quantity of bid quotations at a specific price (hereinafter referred to as the “matched price”) according to each of the following methods, and the quotations matched according to the sequence of quotation priority pursuant to [§22(2) & (3)] shall be executed:

1. The total quantity of ask quotations whose prices are lower than the matched price and the total quantity of bid quotations whose prices are higher than the matched price;

2. In the case of quotations at the matched price, the quantity specified in the followings:

(a) Total quantity of either bid or ask quotation; and

(b) Of the quantity in excess of the quantity of the other side, the quantity in excess of the quantity of trading unit of the concerned issue.

(5) In cases where there are two (2) or more matched prices in determining the price pursuant to paragraph (4), it shall be any one of the following prices. Provided that, when the use of any one of the following prices is deemed inappropriate, it shall be a price stipulated in the Enforcement Rules:

1. Case where there is a price that is equal to the most recent market price (including the special quotation price; the same hereinafter), such price; and

2. Case where there is no price that is equal to the most recent market price, the price that is closest to the most recent market price.

(6) In cases where there are two (2) prices at which the aggregated quantity of ask quotations is matched with the aggregated quantity of bid quotations pursuant to subparagraphs 1 and 2(a) of paragraph (4), the trade shall be executed regardless of subparagraph 2(b) of the same Paragraph. In such cases, paragraph (5) shall apply *mutatis mutandis* to the price determination.

(7) When intending to determine the special quotation price pursuant to paragraph (5)1, the range of quotations that are eligible to participate in the determination of special quotation price may be restricted in accordance with the stipulation in the Enforcement Rules.

(8) Notwithstanding the paragraph (2), in cases of those issues that fall under the criteria set by the Enforcement Rules due to the sudden change of expected execution prices, expected prices of best quotations, etc. noted in [§70(1)] for a specific length of time in determining the prices for the opening and closing of the market, the range of participating quotations (hereinafter referred to as “quotations participating in the call auction”) may be expanded.

(9) Matters necessary for the expansion of the range of quotations to participate in the call auction pursuant to the paragraph (8) shall be stipulated in the Enforcement Rules.

§24. Continuous Auction with Multiple Prices

(1) The prices during the regular session, except those stipulated in [§23(1)], shall be determined by way of continuous auction. (Amended on June 18, 2014)

1. [Deleted on June 18, 2014]
2. [Deleted on June 18, 2014]
3. [Deleted on June 18, 2014]
4. [Deleted on June 18, 2014]

(2) When determining the prices pursuant to paragraph (1), the market quotations shall be deemed to have been quoted at each of the following prices every time when such prices are determined: . (Amended on June 18, 2014)

1. In the case of an ask market quotation, the lowest of the prices specified in the followings:

(a) The most recent market price when there is no ask limit quotation. In case there are ask limit quotations, the price that is one (1) quotation price unit lower than the lowest price of ask limit quotations (within the lower price limit); and

(b) The lowest price of bid limit quotations.

2. In the case of a bid market quotation, the highest of the prices specified in the followings:

(a) The most recent market price when there are no bid limit quotations. In cases where there are bid limit quotations, the price that is one (1) quotation price unit higher than the highest price of bid limit quotations (within the upper price limit); and

(b) The highest price of ask limit quotations.

(3) The prices in the paragraph (1) shall, when the highest bid price matches with the lowest ask price among the competitive bids and asks, be the prices of quotations received first, and trades shall be executed between the matching bids and asks in accordance with [§22(2)].

§25. Regular Session Block Trading

(1) When a member requests the Exchange to execute a trade between the bid and ask quotations of the same issue, same quantity and same price during the regular session noted in [§4(2)1], the regular session block trade shall be conducted by way of executing the trade between such quotations. (Amended on April 17, 2019)

(2) The bid and ask prices that can be quoted when requesting the execution of regular session

block trade pursuant to paragraph (1) shall be the price within the upper limit price and the lower limit price of the day. (Amended on July 10, 2019)

(3) The quantity requirement, trading quantity unit, and other necessary matters relating to the regular session block trade shall be stipulated in the Enforcement Rules.

§26. Off-hours Closing Price Trading

(1) Off-hours closing price trade shall be made at the closing price of the day, upon receiving the quotations during the quotation receiving hours for off-hours closing price trade after the regular session is closed. Provided that, if the concerned issue was not traded during the regular session of the day, no off-hours closing price trade shall be executed.

(2) Trading quantity unit, priority of quotations and other necessary matters relating to the off-hours closing price trade shall be stipulated in the Enforcement Rules.

§26-2. Off-hours Block Trading

(1) When a member requests the Exchange to execute a trade between the bid and ask quotations, of which the issue, quantity and price are the same, during the quotation receiving hours of the off-hours sessions, the off-hours block trade shall be conducted by way of executing such trade. (Amended on April 17, 2019)

(2) The bid and ask prices that can be quoted when requesting the execution of off-hours block trade pursuant to paragraph (1) shall be the prices that are within the upper limit price and the lower limit price of the day. (Amended on July 10, 2019)

(3) In cases where a listed corporation intends to buy back its treasury stocks from the government or Korea Deposit Insurance Corporation by way of off-hours block trade pursuant to the [§14(4)] or intends to buy back its treasury stocks by way of off-hours block trade by obtaining the approval from the FSC, such trade may, notwithstanding paragraph (2) and [§19], be executed at the price submitted by the member that received the concerned order.

(4) The quantity requirement, trading quantity unit and other matters relating to the off-hours block trade shall be stipulated in the Enforcement Rules. [October 29, 2014]

§27. One-sided Auction

(1) One-sided auction shall be conducted by receiving bid quotations (allowing limit quotations only) of an issue for which a member files an application with the Exchange by designating the issue, quantity, minimum bid price, and minimum selling quantity that the member intends to sell.

(2) The lowest bidding price and bid quotations shall be within the upper limit price and the lower limit price of the day. In such case, the bid quotations are not allowed to be lower than the minimum bid price. (Amended on July 10, 2019)

(3) The priority of bid quotations for one-sided auction shall be as stipulated in the followings:

1. Higher bid quotations have priority over lower bid quotations; and,
2. Among the bid quotations of a same price, the quotation received earlier shall have priority over those received later.

(4) One-sided auction shall be executed in a case where the total quantity of bid quotations exceeds the minimum quantity to sell.

(5) One-sided auction shall be executed stepwise in the order of the priority pursuant to the paragraph (3) and the execution price shall be the price of a bid quotation at which the aggregate execution quantity is the most.

(6) In cases where a member intends to file an application for one-sided auction pursuant to the paragraph (1), he/she shall follow the method stipulated in the Enforcement Rules.

(7) The quantity requirement, quotation submission time and other matters necessary for one-sided auction shall be stipulated in the Enforcement Rules.

§28. Range of Quotations and Method of Determining Price of Newly Listed Issues

The method of determining the first trading prices of the initially listed issues and the issues specified in the Enforcement Rules and the ranges of participating quotations in the determination thereof may be differently determined through the stipulations in the Enforcement Rules.

§28-2. Trade Execution Methods of Issues Scheduled to Be Delisted, etc.

For an issue that falls under any of the following subparagraphs, the method of trade execution may be differently determined as stipulated in the Enforcement Rules. Provided that, for the issues falling under subparagraph 2, additional measures necessary for market management such as changing the price change limit, etc. may be taken as stipulated in the Enforcement Rules:

1. Issues scheduled to be delisted; or
2. An issue with abnormally soaring prices noted in [§11(1)] of the Market Oversight Regulation, for which the Market Oversight Commission has requested for a change of trade execution method thereof pursuant to [§12/3] of the same Regulation and such measure is deemed necessary for market management.

(Wholly amended on February 8, 2017)

§29. Notification and Confirmation of Trade Execution

(1) When a trade has been executed, the Exchange shall immediately notify the members of the trade details via its computer systems, and the members shall be deemed to have confirmed the details upon receipt of such notification.

(2) The Exchange shall notify the designated clearing members of the details of trades executed under the names of non-clearing members. (Amended on January 28, 2009)

(3) Matters necessary with respect to trade details, etc. pursuant to paragraphs (1) and (2) shall be stipulated in the Enforcement Rules.

§30. Trading Halt by Issue

In cases where an issue falls under any of the following subparagraphs, the Exchange may halt the trading of the concerned issue. Provided that, for the issues falling under subparagraph 5, additional measures necessary for market management such as the change of trade execution method, etc. may be taken as stipulated in the Enforcement Rules: (Amended on February 8, 2017; August 28, 2019)

1. Where there is a concern that the trading details lack fairness significantly;
2. Case of the issue for which the speedy execution of trade is deemed not possible due to the excessive influx of orders;
3. Where new electronic registration and electronic registration of change or deletion of newly electronically registered stocks are necessary due to stock split, reverse stock split, or conversion between par value stocks and non-par value stocks, etc.;
4. Where a clearing member has failed or is likely to fail to deliver the sold securities by the settlement deadline;
5. Case of the issue for which the Market Oversight Committee has requested to suspend from trading thereof pursuant to [§5-3(3)] of the Market Oversight Regulation and such measure is deemed necessary for the market management; or
6. Other cases where the Exchange deems necessary for protection of investors.

(2) Matters necessary for the trading halt and trading resumption thereafter pursuant to paragraph (1) shall be stipulated in the Enforcement Rules.

§31. Measures against Cases of System Failure or Influx of Excessive Quotations

The Exchange may, in the case where its computer system has failed or the KONNEX Market computer system is expected to fail due to the influx of excessive quotations for some issues, take necessary actions, including the suspension of quotation receiving, the halt of trading, etc., or decide to use different trade execution methods in accordance with the stipulations in the Enforcement Rules.

§32. Correction of Transaction Errors

Members may, when an error has occurred in the course of placing quotations or of confirming the result of the trade execution, correct the details of trade execution in accordance with the manners stipulated in the Enforcement Rules.

CHAPTER IV. [Deleted on March 4, 2025]

§33. [Deleted on March 4, 2025]

§34. [Deleted on March 4, 2025]

[December 28, 2016]

§34-2. [Deleted on March 4, 2025]

[December 28, 2016]

§34-3. [Deleted on March 4, 2025]

[December 28, 2016]

§34-4. [Deleted on March 4, 2025]

[December 28, 2016]

§34-5. [Deleted on March 4, 2025]

[December 28, 2016]

§34-6. [Deleted on March 4, 2025]

[December 28, 2016]

§34-7. [Deleted on March 4, 2025]

[July 10, 2019]

§34-8. [Deleted on March 4, 2025]

[July 10, 2019]

§35. [Deleted on March 4, 2025]

§35-2. [Deleted on March 4, 2025]

§36. [Deleted on March 4, 2025]

§37. [Deleted on March 4, 2025]

§38. [Deleted on March 4, 2025]

§39. [Deleted on March 4, 2025]

§40. [Deleted on March 4, 2025]

§41. [Deleted on March 4, 2025]

§42. [Deleted on March 4, 2025]

§43. [Deleted on March 4, 2025]

§44. [Deleted on March 4, 2025]

§45. [Deleted on March 4, 2025]

§46. [Deleted on March 4, 2025]

§47. [Deleted on March 4, 2025]

§48. [Deleted on March 4, 2025]

§49. [Deleted on March 4, 2025]

§50. [Deleted on March 4, 2025]

CHAPTER V. RECEIVING TRADE ENTRUSTMENT

§51. Opening of Account, etc.

(1) When intending to process an order (referring to the intension of a bid or an ask expressed by a customer for transaction; the same hereinafter) for an issue entrusted by a customer, each member shall have the customer to open an account for securities trading in advance. Provided that, in cases where the customer has already opened the securities trading account or securities savings account, the trading may be conducted using such account.

(2) When a customer intends to open a securities trading account, the member shall verify the facts stipulated in the Enforcement Rules from the customer and shall keep the written records of such facts.

(3) Each member may establish a joint securities trading account only in case of unavoidable circumstances such as the case where a customer requests to open a securities trading account just to dispose the securities owned.

(4) Each member shall, when intending to establish a trading account mentioned in paragraph (1), enter into an agreement for opening a trading account with a customer in accordance with the trading account establishment agreement that contains each of the following matters:

1. Matters stating that a trading account is opened by the member and customer for the purpose of trading in the Market established by the Exchange; and
2. Matters stating that the concerned customer endorses the standard contract relating to the trade entrustment in the Market (hereinafter referred to as “the standard contract”).

§52. Matters to Be Included in Standard Contract

(1) Each member shall set a standard contract that spells out each of the following matters: (Amended on April 27, 2022; December 7, 2022)

1. Matters stating that, when trading in the Market, the member and customer shall comply with the relevant laws, decrees, regulations governing business of the Exchange and other measures of the Exchange;
2. Matters relating to the priorities in submitting the quotations for orders received prior to the starting of quotation receiving hours;
3. Matters relating to the members’ refusal to receive an order or any restriction that the member may impose on receiving an order;

4. Matters relating to the collection of good faith deposit;
5. Matters relating to the notice of investor precautions pursuant to [§62];
6. Matters relating to the prohibition of discretionary trading by the member;
7. Matters relating to the measures to be taken in case of non-fulfillment of settlement obligation;
8. Matters relating to the collection of brokerage fee;
9. Matters relating to the following items if a customer is a person who are required to register as a high-speed algorithmic trader pursuant to [§70-3]; and
 - (a) Matters related to registration; and
 - (b) Matters specified by the Enforcement Rules to manage high-speed algorithmic trading including refusal of trade entrustment, etc.
10. Other matters deemed necessary by the member within the scope that does not conflict with the relevant laws and regulations.

(2) Each member shall, when entering into an agreement for opening a trading account with its customer, explain the material terms and conditions of the standard contract to the customer and deliver a copy of the standard contract concerned to the customer, if requested.

(3) When a member establishes or amends its standard contract, the member shall notify the Exchange of such fact within the period set in the Enforcement Rules. Provided that this provision shall not apply to the case where the member uses the standard contract form established by the Korea Financial Investment Association pursuant to Article 56(3) of the Act. (Amended on December 28, 2016)

§53. Opening of Treasury Stock Trading Account, etc.

(1) When a member intends to execute a trade of treasury stocks upon receiving an order from a listed corporation, such member shall establish a separate account for treasury stock trading for the listed corporation concerned (hereinafter referred to as “the treasury stock trading account”) in advance. (Amended on December 28, 2016)

(2) No member shall use the treasury stocks trading account under paragraph (1) except for the trade stocks other than the treasury stocks of the listed corporation concerned.

§54. Opening of Treasury Stock Trust Trading Accounts

(1) When a member intends to place a quotation upon receiving an order that falls under the trading of treasury stocks from a trust business entity that has acquired the treasury stocks in accordance with the money trust contract pursuant to Article 165-3(1)2 of the Act, such member shall establish a separate account for each fund of trust assets (hereinafter referred to

as “the treasury stock trust trading account”) with the trust business entity in advance.

(2) No member shall use the treasury stock trust trading account under paragraph (1) for receiving an order to trade stocks other than the treasury stocks of the listed corporation concerned that has entered into a money trust contract with the trust business entity.

(3) In applying the provisions of paragraph (2), when a member intends to process a trade entrustment for other issues, which are not treasury stocks in the treasury stock trust trading account, as a result of split-off, etc. of the listed corporation concerned, such trade shall be handled using a separate account other than the treasury stock trust trading account.

§55. Restriction on Serving as Proxy

The officer or employee of a member who enters into an agreement for opening a trading account with a customer pursuant to [§51(4)] shall be prohibited from becoming the proxy for the customer concerned.

§56. Information to be Recorded When Receiving Orders

When receiving an order from a customer, the member shall prepare an order slip recording the information stipulated in the Enforcement Rules.

§57. Methods of Receiving Orders

(1) Each member may receive trade orders from customers using the method noted in any of the following subparagraphs:

1. Orders placed in writing;
2. Orders placed via telephone, telegram, facsimile, electronic mailing system and other similar method (hereinafter referred to as “the method via telephone, etc.”); and
3. Orders placed using a computer or similar electronic communication means (hereinafter referred to as “the method via electronic communication means”).

(2) In the case of receiving an order placed by the method via electronic communication means, each member shall ensure that the order is routed through the security device specified in the Guidelines for Connection, etc. to Member System noted in [§9(1)]. Provided that, this provision shall not apply to the case where it is deemed that there is no concern about damaging the transaction safety in the course of receiving and processing the order and specified in the Enforcement Rules.

(3) When accepting an order from a customer, each member shall be notified whether or not the ask order of the issue concerned is for covered short sale and verify such fact.

(4) When a trade is executed with a customer's order, the member shall notify the customer concerned of the details of the trade, including the issue name, executed date, executed quantity and price, etc. without delay via any of following means. Provided that, if the customer has agreed in advance, the trade details can be notified collectively after the market close of the day: (Amended on February 8, 2017)

1. Telephone, telegram or facsimile;
2. Computers or other similar electronic communication means; and
3. Postal services, delivery of trade reports, etc.

(5) The matters necessary for the method receiving an order noted in each subparagraph of paragraph (1) shall be stipulated in the Enforcement Rules.

§58. Publication and Explanation of Order Placing Method, etc.

(1) Each member shall spell out the matters concerning the order receiving and processing methods and the conditions and fees of use (hereinafter referred to as "the order placing method, etc."). In such cases, the member shall not restrict the usage condition or levy the differential fee between customers without justifiable reasons.

(2) In the case of establishing new order placing method, etc. noted in paragraph (1) or amending the existing ones, the members shall make public such fact in advance.

(3) When entering into an agreement for opening a trading account with a customer, each member shall explain the order placing method, etc. noted in paragraph (1) to the customer and assist the customer to choose an appropriate order placing method.

(4) The details of order placing method, etc. and the matters necessary for the publication thereof under paragraphs (1) and (2) shall be stipulated in the Enforcement Rules.

§59. Refusal of Trade Entrustment

(1) When falling under any of the following cases, each member shall refuse to receive the order. In such cases, the member shall record the reasons for refusal on the order slip and notify the customer concerned of such fact: (Amended on June 8, 2016)

1. Case where the member has recognized that the trade order violates or may violate Articles 172, 174, 176, 178 or 178-2 of the Act; and
2. In addition to the cases in subparagraph 1, the cases where it is deemed necessary for the protection of investors and public interests or for the maintenance of order in the Market.

(2) [Deleted on August 28, 2019]

(3) Members shall refuse to accept the orders that are in violation of [§11] and [§12].

(4) Members shall refuse to accept the orders that are in violation of [§62].

(5) A member shall refuse to receive customer's orders for high-speed algorithmic trading in any or the following cases with regard to the submission of customer's orders for high-speed algorithmic trading: [December 7, 2022]

1. In the case of receiving orders for high-speed algorithmic trading from a customer who has not registered pursuant to [§70-3] or whose registration has been cancelled; and
2. In the case of falling under any of the subparagraphs of [§70-3(5)].

§60. Processing of Orders

(1) Each member shall, when it has received orders from its customers, process such orders according to the manner stipulated in the Enforcement Rules.

(2) Each member shall not, when it has received orders from its customers, process any trade using the account that is directly or indirectly related to its own interest prior to the processing of the orders concerned.

(3) Members shall not conduct a trade using the customer's account without receiving a trade order.

(4) Each member shall, when receiving orders from customers, make its best efforts in protecting the investors by fulfilling its duty with due care and diligence as a good manager, and in cases where there exists any indication or incidents of suspicious trading, such as drastic changes in stock price, trading volume, etc., and it is deemed necessary for the investor protection, the members shall notify its customers of the investment risks and take other necessary actions in accordance with the stipulations in the Enforcement Rules.

(5) Members shall not conduct any action that hinders the rational investment decisions of customers, including the investment advice, which have not taken into consideration the investment purposes, sizes of transaction, experiences of customers, and the provision of groundless investment information.

§61. Customer Margin

(1) A member may, when receiving orders from its customers, collect a customer margin in the form of cash or substitute securities for a buy order; and in the form of cash, securities to be sold or substitute securities for a sell order. (Amended on December 28, 2016)

(2) Members shall establish the collection rates and collection methods of the customer

margin pursuant to paragraph (1) (including the collection rates of substitute securities; hereinafter referred to as “the guidelines for collection of customer margin”). (Amended on December 28, 2016)

(3) When a member has established or amended the guidelines for collection of customer margin pursuant to paragraph (2), the member shall notify the fact thereof to the Exchange as stipulated in the Enforcement Rules.

(4) Notwithstanding paragraphs (1) through (3), in cases where it is deemed necessary for the market management due to the occurrence of natural disaster, warfare, upheaval, sudden and significant change in the economic conditions or other incidents similar thereto, or where the settlement cannot be concluded normally, the Exchange may determine the minimum collection rate of customer margin for a certain period of time by issue or by bid or ask.

(5) Notwithstanding paragraph (2), a member shall, when receiving orders from a customer who has failed to pay the purchase amount or deliver the sold securities by the settlement deadline [including the customer who has failed to pay the purchase amount, etc. in the KOSPI Market and KOSDAQ Market, and the customer registered with the centralized credit information collection agency prescribed in Article 25(2)1 of the Credit Information Use and Protection Act (hereinafter referred to as “the Centralized Credit Information Collection Agency”) because he/she has failed to pay the purchase amount, etc. to other members; the same hereinafter in this Article)], collect as a customer margin the full purchase amount (notwithstanding paragraph (1), in cash only) in the case of buying, and the entire selling securities in the case of selling for the period noted in each of the following subparagraphs: (Amended on June 8, 2016; December 28, 2016; December 5, 2018)

1. In the case of a customer who has not paid the purchase amount by the settlement deadline after the execution of his/her bid order: for thirty (30) days from the trading day following the settlement deadline (in the case of a customer who has not paid the purchase amount to another member, the day the customer was registered with the centralized credit information collection agency); and

2. In the case of a customer who has not delivered the sold securities by the settlement deadline after the execution of his/her ask order: for one hundred and twenty (120) days from the trading day following the settlement deadline (in the case of a customer who has not delivered the sold securities to another member, the day the customer was registered with the centralized credit information collection agency).

(6) Paragraph (5) shall not apply to the case falling under any one of the following subparagraphs. In such cases, the member shall keep the records of the relevant facts. (Amended on December 11, 2013)

1. Case where the purchase amount that the customer has not paid by the settlement day (in cases where an amount such as the interest and tax that are not directly related to the trade concerned has been withdrawn since the submission of the bid order, it may be the amount that excludes such amount) is KRW 100,000 or less; and

2. Case where the customer has failed to deliver the purchase amount or sold securities by the settlement day due to the natural disaster, emergency, computer failure, member's error

or other cause (except cases stipulated in the Enforcement Rules) where it is acknowledged that the customer has committed no intentional or wrongdoing.

(7) Notwithstanding paragraph (5), the member may not collect the customer margin in the case falling under any of the following subparagraphs: (Amended on August 28, 2019)

Case where an ask order placed by a customer who has no unsettled amount has been executed, and then a bid order is received from the customer concerned with the amount less than the relevant selling amount;

1. Case where an ask order is placed for a security, for which the bid order has been executed, with the quantity less than the relevant purchasing quantity, or where an ask order is placed for a security, for which a member can confirm of electronic registration in the customer account pursuant to Article 22(2) of the Electronic Securities Act by the settlement deadline, with the quantity less than the relevant registering quantity; and
2. Case of receiving an order from the customer who intends to settle the trade with the loan or securities borrowed from the member.

(8) Notwithstanding paragraph (2), when receiving an ask order from a customer that falls under any of the following subparagraphs, the member shall collect the total amount of the securities to be sold as customer margin. In such cases, for the customer noted in subparagraph 1, paragraphs (7)2 and (7)3 shall apply *mutatis mutandis* thereto, and for the customer noted in subparagraph 3, total amount of the securities to be sold shall be collected as customer margin only for the period notified from the trading day following the notification date:

1. Customer who intends to sell an issue with a total number of listed shares less than 50,000;
2. Customer who intends to sell to the Exchange pursuant to [§46]; and
3. Customer whom the Exchange or other member notifies as the customer subject to verification of advance deposit of selling securities pursuant to [§13(3) & (4)].

(9) Notwithstanding paragraph (2), when receiving a bid order for the issues of investment warning or issues of investment risk pursuant to [§5-3] of the Market Oversight Regulation, the member shall collect the total purchase amount (notwithstanding paragraph (1), in cash only) as customer margin. Provided that, as a case where the ask order of the customer has been executed, when receiving an entrustment of bid order within the matching amount of the ask order (in cases where the customer has an amount due to the member, the amount after subtracting that due amount), the customer margin may not be collected. (Amended on December 28, 2016)

(10) When collecting the customer margin pursuant to paragraph (1), members shall manage the customer margin separately from their own properties and shall not use the customer margin as member margins. [December 28, 2016]

(Amended on April 27, 2022)

When accepting an order from a customer (including a customer who placed an order to an investment brokerage business entity when the order is arranged by the investment brokerage business entity) for the first time, each member shall inform the customer of the matters stipulated in the Enforcement Rules such as market characteristics and investment risks through the methods specified in any of the subparagraphs of [§57(1)] and receive a confirmation on such notice. Provided that, in cases of a professional investor noted in Article 9(5) of the Act and a person stipulated in the Enforcement Rules, this provision shall not apply. (Amended on May 15, 2015, December 28, 2016, April 17, 2019; April 27, 2022)

§62-2. [Deleted on April 27, 2022]

§63. Types of Substitute Securities, Etc.

(1) [Deleted on December 28, 2016]

(2) Substitute securities shall be the securities falling under any of the following subparagraphs: (Amended on December 28, 2016)

1. The stocks that are listed on the Market. Provided that the issues stipulated in the Enforcement Rules shall be excluded;
2. The securities designated as the substitute securities pursuant to the KOSPI Market Business Regulation and KOSDAQ Market Business Regulation; and
3. Other securities stipulated in the Enforcement Rules.

(3) The methods of designation of substitute securities, methods and timing of calculating substitution price, appraisal rate of substitute securities and other necessary matters shall be stipulated in the Enforcement Rules.

§64. Recording and Maintenance of Trade Details

(1) Members shall record in the trading account of a customer the details of trade, such as the receipts, deposits, refunds, delivery, payments, etc. of the good faith deposit, purchase amount, selling securities, etc.

(2) When having submitted quotations in accordance with the proviso to [§10(1)], the member shall record the details of order, trade execution and allotment, etc. and maintain such records.

§65. Settlement between Members and Customers

(1) In cases where a member and its customer accept the reciprocal obligations for the payments or assume the reciprocal obligations for the stocks of same issue on the same day, the settlement shall be accomplished by netting the payments and the stocks of same issues. Provided that, if there is a separate arrangement between the member and its customer, such arrangement may be respected.

(2) The settlement deadline between a member and its customer shall be the hour of the settlement day that the member determines (hereinafter referred to as “the settlement time”). In such cases, if the member establishes or changes the settlement time, such member shall notify the fact to the Exchange before putting it into practice.

(3) Members shall settle the trade upon receiving the selling securities or the purchase money from its customers by the settlement time pursuant to paragraph (2). In such cases, when there is good faith deposit relating to the concerned settlement, it may be appropriated as the selling securities or purchase money.

(4) In cases where the selling securities mentioned in paragraph (3) are new stock certificates, they may be regarded as old stock certificates.

(5) When a member receives selling securities from a customer who is a professional investor noted in Article 9(5) of the Act (hereinafter referred to as the "institutional customer") or deliver purchased securities to institutional customer, it shall conduct the receipt or delivery by way of electronic registration of transfer between accounts pursuant to Article 25(4) of the Enforcement Decree of the Electronic Securities Act. (Amended on August 28, 2019)

§66. Delivery of Registered Investment Securities, etc.

In cases where a member receives the registered investment securities, beneficiary certificates or bonds from its customers, such securities, certificates and bonds shall have been divided into each trading quantity unit determined by the Exchange and accompanied by the documents necessary for the title transfer.

§67. Handling of Deferred Settlement

In cases where a member has received the deferred settlement funds instead of purchased securities pursuant to [§37] due to the deferred settlement between the Exchange and other clearing member, the delivery of concerned purchased securities to the customer may be postponed.

§68. Measures to Be Taken in Case of Settlement Failure by Customer

(1) In cases where a customer has failed to deliver the purchase amount or selling securities by the settlement deadline, the member shall settle the concerned trade with its own cash or

identical securities. In cases where there is any unsettled amount remained after such settlement, the member may supplement the shortage by disposing the concerned purchased securities, sales proceeds or the cash and securities that the member holds for the customer concerned at its discretion.

(2) In cases where the customer has failed to deliver selling securities by the settlement deadline, the member may collect the amount equivalent to the deferred settlement funds.

(3) A member may, when a customer has accumulated an overdue balance including non-delivery of selling securities or purchase amount, collect the delay charge (in cases where, with regard to the concerned non-delivery, there is the settlement delay loss that the member pays to the Exchange, the amount equivalent to that settlement delay loss shall be included).

§69. Brokerage Fees

(1) Members may, when a trade has been executed upon receiving bid or ask orders from its customer, collect brokerage fee from the customer concerned at the time of the settlement in accordance with the manner determined by the member.

(2) When a member establishes or modifies its brokerage rate or the collection method (hereinafter referred to as “the guidelines for collection of brokerage fees”) pursuant to paragraph (1), such member shall notify the Exchange of such fact within the period stipulated in the Enforcement Rules.

(3) Members shall make public the guidelines for collection of brokerage fees in paragraph (2) so that customers can know in advance.

CHAPTER VI. MARKET MANAGEMENT

§70. Publication of Market Price, etc.

(1) Pursuant to Article 364(2) of the Enforcement Decree of the Act, the Exchange shall make public the market price, etc., which falls under each of the following subparagraphs:

1. Current prices, opening prices, the highest prices, the lowest prices and closing prices;
2. Trading volume and value;
3. Closing price of the previous day or base prices;
4. Ex-dividends, ex-rights, ex-distribution or ex-interests; and
5. Additionally, the quotation information, etc. that are stipulated in the Enforcement Rules,

including the expected matching price and expected best bid and ask prices during the quotation receiving hours for call auction, and the expected best bid and ask prices during the quotation receiving hours for continuous auctions.

(2) The Exchange may make public the information that is useful for making investment decisions for the protection of investors.

(3) The Exchange shall efficiently manage the market information which is generated in relation to or derived from the transaction data in the Market through the use of its computer systems, etc., and provide such information through the electronic communication facilities, etc. to its members and other users who wish to use such information after entering into an agreement on use of market information.

(4) The methods of making public the market prices and information useful for making investment decisions pursuant to paragraphs (1) and (2) and other necessary matters shall be stipulated in the Enforcement Rules.

§70-2. Management of Algorithmic Trades

(1) A member shall identify and manage the risks that may arise in conducting algorithmic trading.

(2) When the accounts that perform algorithmic trades are opened, changed or closed, members shall report such fact to the Exchange without delay.

(3) In cases where an emergency situation occurs due to system failures, errors, or other causes related to the algorithmic trading, a member may request the Exchange for the measures falling under each of the following subparagraphs (hereinafter referred to as the “quotation processing by account”) for each algorithmic trading account [referring to the account of which opening and changes were reported pursuant to paragraph (2); the same hereinafter]. Provided that, this shall not apply to block trades.

1. To cancel the quotations altogether at once; and

2. Not to receive additional quotations.

(4) The method of reporting of algorithmic trading accounts under paragraph (2), the method of requesting for the quotation processing by account under paragraph (3) and the release therefrom, and other necessary matters shall be stipulated in the Enforcement Rules.

[December 7, 2022]

§70-3. Registration of Algorithmic Traders, etc.

(1) Before receiving orders for high-speed algorithmic trading from a customer, a member shall register the relevant customer as a high-speed algorithmic trader in the Exchange as stipulated by the Enforcement Rules. In this case, the member shall confirm whether the customer meets all of the following requirements before applying for the registration:

1. The computer system including the ordering system, etc. used by the customer shall have stability and appropriateness suitable for conducting high-speed algorithmic trading;
2. The customer shall have sufficient knowledge and experience necessary for conducting high-speed algorithmic trading; and
3. In addition, the customer shall meet the requirements specified by the Enforcement Rules as deemed necessary by the Exchange to manage high-speed algorithmic trading.

(2) A member who intends to engage in high-speed algorithmic trading shall report to the Exchange as a high-speed algorithmic trader in advance.

(3) In the case of opening, changing, or closing of a customer's or a member's own account that carries out the high-speed algorithmic trading (hereinafter referred to as the "high-speed algorithmic trading account"), the member shall report the relevant details to the Exchange without delay.

(4) A member shall submit quotations for high-speed algorithmic trading only through a high-speed algorithmic trading account reported pursuant to paragraph (3).

(5) In the case where a member's customer falls under any of following subparagraphs, the member shall take measures (hereinafter referred to as the "high-speed algorithmic trading order suspension"), such as refusing to receive orders for high-speed trading submitted by the customer, closing entire high-speed algorithmic trading accounts opened for the relevant customer, etc. In such case, the relevant fact and reason shall be notified to the Exchange without delay:

1. In the case where a member recognizes that the customer fails to meet the requirements of each subparagraph of paragraph (1);
2. In the case where a member discovers that a customer has falsely written or intentionally omitted important matters when registering through the member; or
3. Other cases where the Enforcement Rules stipulates that it is necessary to suspend receiving orders for high-speed algorithmic trading.

(6) In the case where the Exchange deems inappropriate for a member's customer who is a high-speed algorithmic trader to conduct high-speed algorithmic trading for public interest, investor protection, the stability of trading order, etc., it may cancel the registration of the relevant customer. In such case, the member shall not apply for registration under paragraph (1) within six (6) months from the date of cancellation of the registration.

(7) Registration or reporting of high-speed algorithmic traders, methods and procedures for the cancellation of registration, and other necessary matters shall be specified in the Enforcement Rules.

[December 7, 2022]

§70-4. Member's Obligation to Manage Algorithmic Trading, etc.

(1) A member shall inspect a customer's electronic systems including ordering system as stipulated in the Enforcement Rules for the management of high-speed algorithmic trading of the customer and manage the risks that may rise from the high-speed algorithmic trading.

(2) The Exchange may request members to submit the relevant information for the purpose of checking whether the members' obligation in paragraph (1) is satisfied and managing the market.

[December 7, 2022]

§71. Actions for Ex-dividends, etc.

The action date for ex-dividends, ex-rights, etc. related to the transactions of issues shall be stipulated in the Enforcement Rules.

§72. Continuous Monitoring of Market Conditions, etc.

To ensure the timeliness, appropriateness, etc. of the market measures taken pursuant to this Regulation, the Exchange shall continuously monitor and analyze the conditions of the Market.

§73. Deposits Prior to Placing Quotations

When it is deemed necessary for the market management, the Exchange may specifically designate the issues, members, or types of accounts, and have its members to make deposits of all or a part of the selling securities, and entire amount or a part of the purchase money according to the designation. In such cases, no member shall place bid or ask quotations for such issues unless the concerned deposit has been made.

§74. Payment before Settlement

When it is deemed necessary for the market management, the Exchange may specifically designate the issues, members, or types of accounts, and have its members to prepay all or a part of the purchase money or the selling securities according to the designation by specific time before the settlement deadline.

CHAPTER VII. SUPPLEMENTARY PROVISIONS

§75. Retention Period of Records Relating to Trade

The Exchange shall keep the records relating to trade for each of the following periods:

1. Quotation details pursuant to [§10]: 10 years;
2. Trading details pursuant to [§29]: 10 years.
3. Documents related to the correction of transaction errors pursuant to [§32]: 10 years

§75-2. Public Opinion Gathering

In case this Regulation (including its Enforcement Rules) is to be amended, public opinion of interested parties shall be gathered as stipulated in the Enforcement Rules.

[April 29, 2020]

§76. Enforcement Rules

Matters necessary for the enforcement of this Regulation shall be stipulated in the Enforcement Rules.

ADDENDA
(September 11, 2013)

§1. Effective Date

This Regulation shall become effective on September 17, 2013.

§2. Exception in Applying of Temporary Suspension of Market

Until the date specified in the Enforcement rules, the provisions of [§26] of the KOSDAQ Market Business Regulation shall apply *mutatis mutandis* to the KONEX Market.

§3. Interim Measure for Trading, etc. in KONEX Market

Trading conducted in the KONEX Market and reporting, request and other actions taken against the Exchange in relation to the KONEX Market as of the effective date of this Regulation shall be deemed to have been taken pursuant to this Regulation.

§4. Amendment of Other Regulation

(1) Provisions of the KOSDAQ Market Business Regulation shall be amended as follows: In the provisions of [§2(6)2], “, §19(2), §27-14(3) and §27-15(2)” shall be “and §19(2)”; in the former part of [§2(16)], “, §14(1) and §27-10(1)” shall be “§14(1)”; in the latter part of the same paragraph, “, §19(2), §27-14(3) and §27-15(2)” shall be “and §19(2)” ; and [§2(20)] shall be deleted;

[§4(1)1-2] shall be deleted; in the provisions of [§4(2)], “subparagraph 1 and subparagraph 1-2 of the paragraph (1)” shall be “subparagraph 1 of the paragraph (1)”; “off-hours market (in the case of the market provided in the subparagraph 1-2, refers to off-hours closing price trading after the closing of the regular session only)” shall be “off-hours market”; in the proviso of [§4(3)1], “[§18(8)] and [§27-14(8)] shall be [§18(8)]; and, in the provisions of [§4(3)2(b)], “[§20] and [§27-17] shall be [§20]; Chapter III-2 ([§27-2] to [§27-23]) shall be deleted;

[§34(1)4-2] shall be deleted;

In the provisions of [§42(5)], in the provisions other than the subparagraphs, “KOSPI Market” shall be “KOSPI Market and KOSDAQ Market”;

[§42-2] shall be deleted;

In the provisions of [§43(2)2], “KOSPI Market Business Regulation” shall be “KOSPI Market Business Regulation or KONEX Market Business Regulation”;

In the provisions of [§44(2)], “the proviso and the proviso to [§27-3(1)] shall be “the proviso”;

In the provision of the subparagraph 1 of [§55], “[§9] and [§27-3]” shall be [§9]; in the provision of the subparagraph 2 of [§55], “[§24] (including the case where [§27-20] is applied *mutatis mutandis*” shall be “[§24]”; and, in the provision of the subparagraph 3 of [§55], “[§27] (including the case where [§27-23] is applied *mutatis mutandis*” shall be “[§27]; and,

In the Addenda of the KOSDAQ Market Business Regulation, the Regulation No. 893, paragraph (2) shall be deleted.

(2) Provisions of the KOSPI Market Business Regulation shall be amended as follows: In the part other than each subparagraph of [§89(1)], “KOSDAQ Market” shall be “KOSDAQ Market and KONEX Market”.

Provisions of the Derivatives Market Business Regulation shall be amended as follows: In [§128(1)], subparagraph 2-2 is newly established as below and in [§128(2)], “KOSPI Market Business Regulation and KOSDAQ Market Business Regulation” shall be “KOSPI Market Business Regulation, KOSDAQ Market Business Regulation and KONEX Market Business Regulation”;
Subparagraph 2-2. Securities that are designated as substitute securities pursuant to KONEX Market Business Regulation.

ADDENDUM

(December 11, 2013)

This Regulation shall become effective on January 2, 2014.

ADDENDUM

(June 18, 2014)

This Regulation shall become effective on the date set by the Enforcement Rules. Provided that, the amended regulation of [§39(5)] shall be effective on June 30, 2014.

ADDENDUM

(October 29, 2014)

This Regulation shall become effective on the date set by the Enforcement Rules.

ADDENDUM

(February 11, 2015)

This Regulation shall become effective on February 26, 2015.

ADDENDUM

(April 29, 2015)

This Regulation shall become effective on the date set by the Enforcement Rules, in consideration of the time required to develop the necessary computer programs.

ADDENDUM

(May 15, 2015)

This Regulation shall become effective on the date set by the Enforcement Rules, in consideration of the time required to develop the necessary computer programs.

ADDENDUM

(November 4, 2015)

This Regulation shall become effective on the date set by the Enforcement Rules, in consideration of the time required to develop the necessary computer programs.

ADDENDUM

(June 8, 2016)

This Regulation shall become effective on June 30, 2016. Provided that, the amended provisions of [§4(2)] shall become effective on August 1, 2016.

ADDENDUM

(December 28, 2016)

This Regulation shall become effective on January 2, 2017. Provided that, the amended provisions of [§34] through [§36], [§49], and [§61] through [§63] shall be put into effect on the date set by the Enforcement Rules in consideration of the time required to develop the computer systems, etc.

ADDENDUM

(February 8, 2017)

This Regulation shall become effective on February 9, 2017. Provided that, the amended provisions of [§11], [§13], [§28-2] and [§30] shall be put into effect on the date set by the Enforcement Rules in consideration of the time required to develop the computer systems, etc.

ADDENDUM

(June 14, 2017)

This Regulation shall become effective on June 26, 2017.

ADDENDUM
(December 5, 2018)

This Regulation shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the computer systems, etc.

ADDENDUM
(April 3, 2019)

This Regulation shall become effective on April 29, 2019.

ADDENDUM
(April 17, 2019)

This Regulation shall become effective on April 22, 2019. Provided that, the amended provisions of [§14], [§17], [§19], [§25] and [§26-2] shall be put into effect on the date set by the Enforcement Rules in consideration of the time required to develop the computer systems, etc.

ADDENDUM
(July10, 2019)

This Regulation shall become effective on July 15, 2019. Provided that, the amended provisions of [§34-2], [§34-7], [§34-8] and [§49] shall be put into effect on the date set by the Enforcement Rules in consideration of the time required to develop the computer programs, etc.

ADDENDA
(August 28, 2019)

§1. Effective Date

This Regulation shall become effective on September 16, 2019.

§2. Applicable Case Concerning Trading Suspension Relating to Stock Split, Reverse Stock Split, Conversion between Par value Stocks and Non-par Value Stocks, etc.

The period of trading suspension and the resumption of trading of the stocks that have been suspended in trading pursuant to the previous regulation of [§30(1)3] at the time this regulation becomes effective shall be governed by the previous regulation.

ADDENDUM
(April 29, 2020)

This Regulation shall become effective on May 8, 2020.

ADDENDUM

(March 8, 2021)

This Regulation shall become effective on March 15, 2021. Provided that, the amended provision of [§11(6)2] shall become effective on April 6, 2021.

ADDENDA

(April 27, 2022)

§1. Effective Date

This Regulation shall become effective on May 2, 2022. Provided that, the amended provisions of [§52], [§62] and [§62-2] shall be effective from May 30, 2022.

§2. Special Cases concerning Termination of Small Investment Accounts

Small investment accounts shall be deemed converted into general accounts at the closing time of the trading session immediately before the effective date of the amended provision of [§62-2].

ADDENDA

(December 7, 2022)

§1. Effective Date

This Regulation shall become effective on the date set by the Enforcement Rules in consideration of the time required to develop the computer programs. etc.

§2. Preparation for Registration of High-speed Algorithmic Traders and Exception Therefrom

(1) The Exchange may process applications related to registration or reporting of high-speed algorithmic traders from one (1) month prior to the effective date of these regulations.

(2) Notwithstanding the provisions of [§59(5)] and [§70(3)] in relation to the high-speed trading, a member or its customers may conduct high-speed algorithmic trading without registering or reporting high-speed algorithmic trading until three (3) months after the enforcement of these regulations.

ADDENDUM

(Regulation No. 2278 / March 4, 2025)

This Regulation shall become effective on March 4, 2025.

ADDENDA

(Securities Market Clearing and Settlement Business Regulations)

(Regulation No. 2287 / February 5, 2025)

§1. Effective Date

This Regulation shall become effective on March 4, 2025.

§2. Revision of Other Regulation

(1) [Omitted]

(2) [Omitted]

(3) The KONEX Market Business Regulations is partially revised as follows:

Chapter 4 ([§33 through 50]) shall be deleted.

ADDENDUM

(Regulation No. 2401 / January 28, 2026)

This Regulation shall become effective on January 29, 2026.